

EVG1017 - Frank & Diane Russo - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Frank J. Russo (XXX-XX-3350) / Diane L. Russo (XXX-XX-8814)
Address	412 S Garfield St, Hinsdale, IL 60521
Filing status	Married filing jointly
Digital assets question	No
Forms included	1040; Schedules 1, 2, 3, A, B, D, E; Forms 1116, 4952, 6251 (check), 8582, 8949, 8960, 8995; K-1 basis worksheet; IL-1040 (Sch M, CR, ICR); PA-40 NR
Extension	Federal 4868 04/15/2026 (\$4,000); IL-505-I automatic; PA automatic
Filing method	E-file federal, IL and PA (8879/IL-8453/PA-8879 signed 09/23/2026); refunds by direct deposit Salt Creek ****3008

Key figures	Amount
Total income (1040 line 9)	350,875
Adjusted gross income (line 11)	350,875
Deduction (line 12e) - Itemized (Schedule A)	61,608
QBI deduction (line 13a)	10,180
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	279,087
Total tax (line 24)	42,450
Total payments (line 33)	42,800
REFUND (line 35a)	350

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	85,000
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	85,000
2a	Tax-exempt interest	4,800
2b	Taxable interest	26,184
3a	Qualified dividends	62,410
3b	Ordinary dividends	79,780
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	118,211
8	Additional income from Schedule 1, line 10	41,700
9	Total income	350,875
10	Adjustments to income from Schedule 1, line 26	0
11	Adjusted gross income	350,875
12e	Standard deduction or itemized deductions (Itemized (Schedule A))	61,608
13a	Qualified business income deduction (Form 8995/8995-A)	10,180
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	71,788
15	Taxable income	279,087
16	Tax	39,437
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	39,437
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	820
21	Add lines 19 and 20	820
22	Subtract line 21 from line 18	38,617
23	Other taxes, including self-employment tax, from Schedule 2, line 21	3,833
24	Total tax	42,450
25a	Federal income tax withheld - Form(s) W-2	12,800
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	12,800
26	2025 estimated tax payments and amount applied from 2024 return	26,000
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	4,000
32	Total other payments and refundable credits	4,000
33	Total payments	42,800
34	Amount overpaid	350
35a	Refund	350
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Morgan Stanley - interest (1099-INT box 1)	14,250
1.2	Morgan Stanley - US Treasury interest (box 3)	9,600
1.3	Morgan Stanley - accrued market discount (Ford Motor Credit bond, 1099-B box 1f)	1,624
1.4	Salt Creek Bank & Trust	1,860
1.5	Ridgeview Capital Partners LLC (K-1 box 5)	400
1.6	Accrued interest paid on purchases - Apple 3.35% 2032 (Morgan Stanley)	(1,240)
1.7	Accrued interest paid on purchases - US Treasury 4.25% 2030 (Morgan Stanley)	(310)
1.8	Tax-exempt interest (1099-INT box 8) - memo	0
2	Total interest	26,184
4	Taxable interest (to Form 1040, line 2b)	26,184
5.1	Morgan Stanley - Apple, JNJ, Microsoft, JPMorgan, PepsiCo, P&G common stock	38,000
5.2	Morgan Stanley - Vanguard Total Intl Stock Index Adm (VTIAX)	16,200
5.3	Morgan Stanley - Vanguard Real Estate Index Adm (VGSIX)	9,200
5.4	Morgan Stanley - American Funds Growth Fund of America F2 (GFFFX)	15,000
5.5	Morgan Stanley WHFIT - Invesco Unit Trust Series 2104 - Dividend Achievers Portfolio (WHFIT)	1,380
6	Ordinary dividends (to Form 1040, line 3b)	79,780
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Form 8949 (Box A)

Line	Description	Amount
1	300 sh Intel Corp (INTC) acq 01/14/2025 sold 03/10/2025 proceeds 6,030 basis 12,230 code W adj 4,100	(2,100)
2	150 sh Palantir Technologies (PLTR) acq 02/03/2025 sold 07/21/2025 proceeds 22,410 basis 12,960 code adj 0	9,450
3	100 sh Advanced Micro Devices (AMD) acq 04/08/2025 sold 11/18/2025 proceeds 14,280 basis 9,870 code adj 0	4,410
4	300 sh Intel Corp (INTC) - replacement lot acq 03/28/2025 sold 10/06/2025 proceeds 11,550 basis 11,120 code adj 0	430

Form 8949 (Box D)

Line	Description	Amount
5	400 sh Apple Inc (AAPL) acq 06/12/2018 sold 05/15/2025 proceeds 84,200 basis 18,640 code adj 0	65,560
6	200 sh Johnson & Johnson (JNJ) acq 09/17/2019 sold 08/11/2025 proceeds 31,400 basis 27,900 code adj 0	3,500
7	\$50,000 Ford Motor Credit 4.95% 05/28/2031 (CUSIP 345397C35) acq 03/08/2022 sold 09/10/2025 proceeds 49,125 basis 45,750 code D adj -1,624	1,751
8	500 sh Verizon Communications (VZ) acq 04/22/2016 sold 12/08/2025 proceeds 19,850 basis 24,600 code adj 0	(4,750)

Form 8949 (Box E)

Line	Description	Amount
9	300 sh Abbott Laboratories (ABT) - NONCOVERED, basis not reported acq 11/16/2009 sold 12/02/2025 proceeds 36,900 basis 14,850 code adj 0	22,050
10	WHFIT - Invesco UIT 2104: pro-rata sales of underlying securities (WHFIT statement) acq 03/2021 sold VARIOUS 2025 proceeds 4,820 basis 4,310 code adj 0	510

Form 8949 (Box F)

Line	Description	Amount
11	Ridgeview Capital Partners LLC - distribution in excess of outside basis (IRC 731(a); no 751 property) acq 06/01/2017 sold 12/31/2025 proceeds 84,000 basis 74,500 code adj 0	9,500

Schedule D

Line	Description	Amount
ST box A	Short-term from Form 8949 box A (proceeds 54,270; cost 46,180; adj 4,100)	12,190
7	Net short-term capital gain or (loss)	12,190
LT box D	Long-term from Form 8949 box D (proceeds 184,575; cost 116,890; adj -1,624)	66,061
LT box E	Long-term from Form 8949 box E (proceeds 41,720; cost 19,160; adj 0)	22,560
LT box F	Long-term from Form 8949 box F (proceeds 84,000; cost 74,500; adj 0)	9,500
13	Capital gain distributions	7,900
15	Net long-term capital gain or (loss)	106,021
16	Combine lines 7 and 15	118,211

Schedule 1

Line	Description	Amount
5	Rental real estate, royalties, partnerships, S corps, trusts - Schedule E	41,700
10	Additional income (to Form 1040, line 8)	41,700

Schedule A

Line	Description	Amount
1	Medical and dental expenses	0
3	7.5% of AGI	26,316
4	Deductible medical	0
5a	State and local income taxes	15,208

Line	Description	Amount
5b	State and local real estate taxes	18,600
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	33,808
5e	Smaller of line 5d or SALT limit (\$40,000 after MAGI phase-down)	33,808
7	Total taxes	33,808
8a	Home mortgage interest and points reported on Form 1098	9,400
8e	Add lines 8a through 8c	9,400
9	Investment interest (Form 4952)	6,400
10	Total interest	15,800
11	Gifts by cash or check	12,000
12	Other than by cash or check	0
14	Total gifts to charity	12,000
17	Total itemized deductions	61,608

Form 8995

Line	Description	Amount
QBI 58,600	QBI 58,600 Component (below threshold: 20% x QBI)	11,720
Oak Brook Industrial Park	Oak Brook Industrial Park Component (below threshold: 20% x QBI)	(3,380)
REIT/PTP	Qualified REIT dividends 9,200 + PTP income 0 x 20%	1,840
limit	20% x (taxable income before QBI 289,267 - net capital gain & qualified dividends 168,431)	24,167
deduction	Qualified business income deduction	10,180

Form 6251

Line	Description	Amount
1	Taxable income (Form 1040 line 15)	279,087
2a	Taxes from Schedule A line 7	33,808
4	Alternative minimum taxable income	312,895
5	Exemption	137,000
6	AMTI less exemption	175,895
7-9	Tentative minimum tax	13,820
10	Regular tax (Form 1040 line 16 less Sch 3 line 1 FTC)	39,437
11	Alternative minimum tax	0

Form 1116

Line	Description	Amount
summary	Category: passive (RIC); foreign taxes 820; foreign-source TI 12,036; limitation 1,701	820

Schedule 3

Line	Description	Amount
1	Foreign tax credit	820
8	Total nonrefundable credits (to Form 1040, line 20)	820

Line	Description	Amount
10	Amount paid with request for extension to file (Form 4868)	4,000
15	Total other payments and refundable credits (to Form 1040, line 31)	4,000

Form 8960

Line	Description	Amount
8	Total investment income	265,875
11	Properly allocable deductions (incl. investment interest)	6,400
12	Net investment income	259,475
13-16	MAGI 350,875 over threshold 250,000	100,875
17	Net investment income tax	3,833

Schedule 2

Line	Description	Amount
12	Net investment income tax (Form 8960)	3,833
21	Total other taxes (to Form 1040, line 23)	3,833

Schedule B support

Schedule B support (tape on consolidated 1099 page)	Amount
MS 1099-INT box 1 (corrected)	14,250
MS 1099-INT box 3 US Treasury	9,600
Accrued market discount - Ford Motor Credit sale (1099-B 1f; ratable 4,250 x 1282/3356 days)	1,624
Salt Creek Bank	1,860
Ridgeview K-1 box 5	400
Less: 'Accrued interest' paid on purchases (Apple bond 1,240; Treasury note 310)	(1,550)
Schedule B line 4 / Form 1040 line 2b	26,184
Tax-exempt interest line 2a (NY/CA/TX munis - added back for IL)	4,800
WHFIT dividends added (not in 1099-DIV totals): ordinary / qualified	1,380 / 1,210
Nondividend distributions box 3 (not income - reduce VGSLX basis)	2,150
WHFIT trust expenses / advisory fees (miscellaneous itemized - not deductible)	95 / 11,850

K-1 outside basis worksheet - Ridgeview

Ridgeview Capital Partners LLC - outside basis (CCH Section 6 - limitation applied)	Amount
Beginning outside basis 01/01/2025 (tax capital -2,500 + liabilities 18,000)	15,500
+ Ordinary income (box 1)	58,600
+ Interest (box 5)	400
= Basis before distributions	74,500
- Cash distributions box 19A (incl. PA withholding paid for partner)	(80,000)

Ridgeview Capital Partners LLC - outside basis (CCH Section 6 - limitation applied)	Amount
- Deemed distribution: decrease in share of liabilities 18,000 -> 14,000 (IRC 752(b))	(4,000)
= Excess distribution -> IRC 731(a) capital gain, long-term (held since 2017), Form 8949 box F	9,500
Ending outside basis 12/31/2025	0

Passive activities (Form 8582 / PTP)

Form 8582 / passive activity summary	Current	PY suspended	Allowed 2025	Carryforward
Ridgeview Capital Partners LLC (passive income)	58,600	0	58,600	0
Oak Brook Industrial Partners LP (limited partner - no \$25k allowance)	(9,600)	(7,300)	(16,900)	0
Permian Midstream Partners LP (PTP - own basket, IRC 469(k); not on 8582)	(2,340)	(1,150)	0	(3,490)
Schedule E line 41			41,700	

Form 1116 detail

Form 1116 - passive category, country RIC (mutual fund)	Amount
Line 1a gross foreign-source income (VTIAX)	14,600
Lines 3a-3g apportioned deductions: itemized 61,608 x 14,600/350,875 (4.1610%)	(2,564)
Line 7 net foreign-source taxable income	12,036
Qualified dividend adjustment	Not required - adjustment exception (foreign QD < \$20,000; no 20%/28%/25% rate income)
Line 8 foreign taxes paid (1099-DIV box 7)	820
Why 1116: \$820 exceeds the \$600 MFJ de minimis election limit	
Credit allowed (Schedule 3 line 1)	820

Form 4952

Form 4952 - investment interest expense	Amount
Line 1 margin interest paid 2025	6,400
Line 4a gross investment income: taxable interest + nonqualified dividends	43,554
Line 4g election to include QD/net capital gain	None needed
Line 8 deduction (Schedule A line 9)	6,400
Tracing: margin draws used to buy taxable equities (not munis - IRC 265)	

Form 8995 support

Form 8995 support	Amount
Ridgeview Capital Partners LLC QBI (W-2 wages 214,000; UBIA 1,450,000)	58,600
Oak Brook Industrial Partners LP QBI loss (2025 loss + 2024 suspended loss allowed in 2025)	(16,900)
Qualified REIT dividends (1099-DIV box 5, corrected)	9,200
Permian Midstream Partners LP - PTP loss suspended under 469 -> excluded until allowed	0

State / Local Returns

Illinois Form IL-1040 (full-year residents) - 2025

Line	Description	Amount
1	Federal AGI	350,875
2	Federally tax-exempt interest (NY/CA/TX munis)	4,800
5 / Sch M	US Treasury interest subtraction (box 3 9,600 less accrued interest paid 310)	(9,290)
9	Base income	346,385
10	Exemption allowance 2 x \$2,850 (AGI <= \$500,000)	(5,700)
11	Net income	340,685
12/14	Tax 4.95%	16,864
15 / Sch CR	Credit for tax paid to PA: lesser of PA tax 1,173 or IL tax x 38,200/346,385 = 1,860	(1,173)
16 / Sch ICR	Property tax credit 5% x 18,600 (AGI <= \$500,000)	(930)
24	Total tax	14,761
25	IL withholding (W-2)	4,208
26	2025 IL estimated payments (incl. 01/15/2026)	11,200
36/40	Refund	647

Muni interest from other states is taxable to IL. PTP and Oak Brook state amounts are losses/immaterial - no other state filings.

Pennsylvania PA-40 NR (nonresident, joint) - 2025

Line	Description	Amount
4	Net income from business - Ridgeview Capital Partners LLC (PA-65 Schedule NRK-1, PA-source)	38,200
9	Total PA taxable income (Frank)	38,200
12	PA tax 3.07%	1,173
13	PA nonresident withholding (Schedule NRK-1)	1,173
26-28	Tax due / (refund)	0

Filing required - nonresident with PA-source income over \$33. IRC 731 gain on the partnership interest treated as non-PA-source (intangible; assumption - see notes). Diane has no PA-source income.